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By Zia Weise · Sep 10, 2026, 5:26 PM · [View in your browser](#)

BRUSSELS — The European Parliament's lead lawmaker on the carbon market reform wants to crack down on countries using the revenues as a treasury piggy bank, setting up a clash with EU governments, according to a near-final draft of his report obtained by POLITICO .

German center-right MEP Peter Liese is due to unveil his changes to the European Commission's proposed Emissions Trading System revision on Friday, and a key amendment he's proposing is to funnel more of the carbon market revenues back to industry.

The draft report shows he is also suggesting a raft of amendments resulting in softer initial emissions cuts and industry receiving additional pollution permits free of charge.

His plans to tighten spending rules for ETS revenues will likely upset governments, which have gotten used to supplementing their budgets with the money generated from carbon allowance auctions. The Commission wanted to force countries to spend 50% of the revenues on supporting the decarbonization of industry, but Liese has upped that to 75%.

"A key priority is that revenues from the ETS will go back to the respective sectors and support innovation. The Commission made a good proposal, but I'm strengthening it," Liese told POLITICO in a written statement.

Liese also wants to adjust the linear reduction factor, which determines how much ETS-covered industries emit every year. In the first half of the 2030s, he wants slower pollution cuts, suggesting the factor change from the Commission's proposed 3.7% to 3.4% — a move likely to anger left-leaning MEPs supporting more ambitious climate action.

From 2036, however, he proposes sharper cuts, amending the factor from the 1.7% proposed by the EU executive to 2.3%.

"Whilst significant efforts must be made in the first half of the decade, the balance between the two periods could be improved," a comment justifying the change in the draft reads.

Liese also makes tweaks to the phase-out of free allowances. He suggests slowing the phase-out for sectors covered by the EU's carbon border tax, and wants to gradually phase in between 2031 and 2035 the new rules proposed by the Commission, which would make free permits conditional on industries investing in European decarbonization projects.

The draft report also suggests integrating carbon dioxide removals in the ETS from 2029 rather than 2031 and limits the amount of credits generated from biochar technologies to 20% in order to boost the development of alternatives such as direct air capture.

Liese's draft report will be debated and amended by other MEPs in early October before an expected parliamentary compromise at the end of the year.

"The horrible events of the recent summer oblige us to keep on track when it comes to our climate targets, and I'm determined to deliver," said Liese. "At the same time, we need to do better to be a really good example for the rest of the world. In the end, climate change can only be fought at the global level, and we need changes to really guide the world."

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